



Quiz-chapter-22 - ACF Quiz-chapter-22

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Câu Hỏi 1

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

A ____ is a derivative security that gives the owner the right, but not the obligation, to buy an asset at a fixed price for a specified period of time.

- a.
swap
- b.
put option
- c.
futures contract
- d.
call option

Đúng

- e.
forward contract

Phản hồi

The correct answer is: call option

Câu Hỏi 2

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

A financial contract that gives its owner the right, but not the obligation, to buy or sell a specified asset at an agreed-upon price on or before a given future date is called a

____ contract.

- a.
futures
- b.
option

Đúng

- c.
straddle
- d.
forward
- e.

swap

Phản hồi

The correct answer is: option

Câu Hỏi 3

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

A put option with a \$35 exercise price on ABC stock expires today. The current price of ABC stock is \$36. The put is:

- a. unfunded.
- b. in the money.
- c. at the money.
- d. funded.
- e. out of the money.

Đúng

Phản hồi

The correct answer is: out of the money.

Câu Hỏi 4

Sai

Đạt điểm 0,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

All else held constant, the value of a call decreases when the:

- a. time to expiration increases.
- b. volatility of the price of the underlying stock increases.

Sai

- c. stock price increases.
- d. risk-free rate of return increases.

e.
exercise price increases.

Phản hồi

The correct answer is: exercise price increases.

Câu Hỏi 5

Đúng
Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

An option that may be exercised at any time up to and including its expiration date is called

a. _____ option.

- a.
European
- b.
Bermudan
- c.
Asian
- d.
American

Đúng

e.
futures

Phản hồi

The correct answer is: American

Câu Hỏi 6

Đúng
Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

Assume a risky firm has both bondholders and stockholders. If the firm obtains a government loan guarantee on its existing debt, who will gain from this guarantee?

- a.
existing stockholders only
- b.
existing bondholders and stockholders on an equal basis
- c.
both existing bondholders and stockholders in proportion to the firm's debt-equity ratio
- d.
future stockholders only

e.
existing bondholders only

Đúng

Phản hồi

The correct answer is: existing bondholders only

Câu Hỏi 7

Đúng
Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

Assume you purchase one share of a stock and sell a call on a single share of that same stock with an exercise price of \$25. What is the maximum payoff you can realize on this combination?

a.
the exercise price of \$25

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- b.
an amount equal to the stock price on the expiration date plus \$25
- c.
an amount equal to the stock price on the option expiration date
- d.
an amount equal to \$25 minus the stock price on the option expiration date
- e.
an amount equal to the sum of the exercise price and the stock price on the option expiration date

Phản hồi

The correct answer is: the exercise price of \$25

Câu Hỏi 8

Đúng
Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

If a call has a positive intrinsic value at expiration the call is said to be:

- a.
unfunded.
- b.
out of the money.
- c.
in the money.

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- d.
at the money.
- e.
funded.

Phản hồi

The correct answer is: in the money.

Câu Hỏi 9

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

If you consider bondholders to be the owners of a firm, then those bondholders:

- a.
have written a call option on the firm with an exercise price equal to the firm's total debt.

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- b.
own a put option on the firm with an exercise price equal to the firm's total debt.
- c.
have written a put option on the firm with an exercise price equal to the firm's total equity.
- d.
own a call option on the firm with an exercise price equal to the firm's total equity.
- e.
own a put option on the firm with an exercise price equal to the firm's total assets.

Phản hồi

The correct answer is: have written a call option on the firm with an exercise price equal to the firm's total debt.

Câu Hỏi 10

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

If you consider stockholders to be the owners of a firm, then those stockholders:

- a.
have written a call option on the firm with an exercise price equal to the firm's total debt.
- b.
own a put option on the firm with an exercise price equal to the firm's total assets.

c.

own a put option on the firm with an exercise price equal to the firm's total debt.

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d.

own a call option on the firm with an exercise price equal to the firm's total equity.

e.

have written a put option on the firm with an exercise price equal to the firm's total equity.

Phản hồi

The correct answer is: own a put option on the firm with an exercise price equal to the firm's total debt.

Câu Hỏi 11

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

If you consider the equity of a firm to be an option on the firm's assets then the act of paying off debt is comparable to ____ on the assets of the firm.

a.

purchasing a call option

b.

exercising an in-the-money put option

c.

purchasing a put option

d.

selling a call option

e.

exercising an in-the-money call option

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Phản hồi

The correct answer is: exercising an in-the-money call option

Câu Hỏi 12

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

Jeff opted to exercise his August option on August 10 and received \$2,500 in exchange for his shares. Jeff must have owned a(an):

a.

European put.

- b.
warrant.
- c.
European call.
- d.
American call.
- e.
American put.

Đúng

Phản hồi

The correct answer is: American put.

Câu Hỏi 13

Đúng

Đạt điểm 1,00 trên 1,00

Xóa cờ

Đoạn văn câu hỏi

Jillian owns an option which gives her the right to purchase shares of WAN stock at a price of \$20 a share. Currently, WAN stock is selling for \$24.50. Jillian would like to profit on this option but is not permitted to exercise it for another two weeks. She believes the stock will decline in value before the two weeks is up. What should she do?

- a.
put in an order to exercise her option on its expiration date
- b.
put in an order to exercise her option as soon as she is permitted to do so
- c.
convert her American option into a European option
- d.
convert her European option into an American option
- e.
sell her option today

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Phản hồi

The correct answer is: sell her option today

Câu Hỏi 14

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

The act where an owner of an option buys or sells the underlying asset, as is his right, is called _____ the option.

- a. opening
- b. splitting
- c. striking
- d. exercising

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- e. strangling

Phản hồi

The correct answer is: exercising

Câu Hỏi 15

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

The fixed price in an option contract at which the owner can buy or sell the underlying asset is called the option's:

- a. opening price.
- b. market price.
- c. strike price.

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- d. time value.
- e. intrinsic value.

Phản hồi

The correct answer is: strike price.

Câu Hỏi 16

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

The intrinsic value of a put is equal to the:

- a.
lesser of the stock price or zero.
- b.
greater of the strike price minus the stock price or zero.
- c.
lesser of the stock price minus the exercise price or zero.
- d.
lesser of the strike price or the stock price.
- e.
greater of the stock price minus the exercise price or zero.

Phản hồi

The correct answer is: greater of the strike price minus the stock price or zero.

Câu Hỏi 17

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

The last day on which an owner of an option can elect to exercise is the ____ date.

- a.
expiration

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- b.
opening
- c.
intrinsic
- d.
ex-payment
- e.
ex-option

Phản hồi

The correct answer is: expiration

Câu Hỏi 18

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

The lower bound on a call's value is defined as the:

a.
greater of the stock price minus the exercise price or zero.

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- b.
lesser of the strike price or zero.
- c.
lesser of the strike price or the stock price.
- d.
lesser of the stock price minus the exercise price or zero.
- e.
greater of the strike price or zero.

Phản hồi

The correct answer is: greater of the stock price minus the exercise price or zero.

Câu Hỏi 19

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

The maximum value of a call option is equal to the:

- a.
strike price.
- b.
exercise price plus the price of the underlying stock.
- c.
purchase price.
- d.
strike price minus the initial cost of the option.
- e.
price of the underlying stock.

Đúng

Phản hồi

The correct answer is: price of the underlying stock.

Câu Hỏi 20

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

The value of an option if it were to immediately expire, that is, its lower pricing bound, is called an option's ____ value.

- a.
time
- b.
market
- c.
intrinsic

Đúng

- d.
strike
- e.
volatility

Phản hồi

The correct answer is: intrinsic

Câu Hỏi 21

Đúng

Đạt điểm 1,00 trên 1,00

Xóa cờ

Đoạn văn câu hỏi

What is the cost of four November 35 put option contracts on KNJ stock given the following price quotes?

- a.
\$2,640
- b.
\$40

c.
\$2,040

Cost = $4 \times 100 \times \$5.10 = \$2,040$

- d.
\$3,075
- e.
\$280

Phản hồi

The correct answer is: \$2,040

Câu Hỏi 22

Đúng

Đạt điểm 1,00 trên 1,00

Xóa cờ

Đoạn văn câu hỏi

What is the intrinsic value of the November 35 put?

a.

\$5.10

b.

\$4.14

Intrinsic value = $\$35 - 30.86 = \4.14

c.

\$29.90

d.

\$.70

e.

\$34.30

Phản hồi

The correct answer is: \$4.14

Câu Hỏi 23

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

What is the value of one August 25 call option contract?

a.

\$10

b.

\$6.15

c.

\$615

Contract value = $1 \times 100 \times \$6.15 = \615

d.

\$.10

e.

\$4.60

Phản hồi

The correct answer is: \$615

Câu Hỏi 24

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

Which one of the following statements is correct concerning in-the-money option values?

a.

The value of a put decreases as the exercise price increases.

b.

An increase in the underlying stock price decreases both the value of a put and a call.

c.

The value of a call decreases as the price of the underlying stock increases.

d.

The value of a put increases as the price of the underlying stock increases.

e.

The value of a call decreases as the exercise price increases.

Đúng

Phản hồi

The correct answer is: The value of a call decreases as the exercise price increases.

Câu Hỏi 25

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

Which one of the following will cause the value of a call to decrease?

a.

increasing the stock price

b.

increasing the risk-free rate

c.

lowering the risk level of the underlying security

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d.

increasing the time to expiration

e.

lowering the exercise price

Phản hồi

The correct answer is: lowering the risk level of the underlying security

Câu Hỏi 26

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

You own both a May 20 call and a May 20 put. If the call finishes in the money, then the put will:

a.

also finish in the money.

b.

finish at the money.

c.

either finish at the money or out of the money.

d.

either finish at the money or in the money.

e.

finish out of the money.

Đúng

Phản hồi

The correct answer is: finish out of the money.

Câu Hỏi 27

Sai

Đạt điểm 0,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

You own stock in a firm that has a pure discount loan due in six months. The loan has a face value of \$50,000. The assets of the firm are currently worth \$62,000. The stockholders in this firm basically own a ____ option on the assets of the firm with a strike price of ____

a.
call; \$50,000.

b.
call; \$62,000.

Sai

c.
warrant; \$62,000.

d.
put; \$62,000.

e.
put; \$50,000.

Phản hồi

The correct answer is: call; \$50,000.

Câu Hỏi 28

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

You purchased eight TJH call option contracts with a strike price of \$37.50 when the option quote was \$.55. The option expires today when the value of TJH stock is \$37.10. Ignoring trading costs and taxes, what is your total profit on your investment?

a.
-\$760

b.
-\$440

You will not exercise the call option because the strike price is greater than the stock price. Why pay more than market price to purchase shares? Thus, your loss is equal to the amount paid to purchase the option contracts:

Total profit = $8 \times 100 \times (-$.55) = -\440

c.
\$420

d.
-\$120

e.
\$0

Phản hồi

The correct answer is: -\$440

Câu Hỏi 29

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

You purchased five WYO 30 call option contracts at a quoted price of \$.34. What is your total profit on this investment if the price of WYO is \$33.60 on the option expiration date?

a.

\$1,576

b.

\$326

c.

-\$170

d.

\$1,630

Total profit = $5 \times 100 \times (-\$0.34 - 30 + 33.60) = \$1,630$

e.

\$1,440

Phản hồi

The correct answer is: \$1,630

Câu Hỏi 30

Đúng

Đạt điểm 1,00 trên 1,00

Đặt cờ

Đoạn văn câu hỏi

You wrote ten put option contracts on JIG stock with a strike price of \$40 and an option price of \$.40. What is your total profit on this investment if the price of JIG is \$41.05 on the option expiration date?

a.

\$5,650

b.

\$400

The buyer of the put contracts will not exercise them since the market price exceeds the strike price. Why sell shares for less than the market value? Thus, your total profit equals the option premium you received as the option writer.

Total profit = $10 \times 100 \times \$0.40 = \400

c.

-\$6,450

d.

-\$5,650

e.

\$6,450

Phản hồi

The correct answer is: \$400